

26PSCV02420 26PSCV02420

County: los-angeles

Division: Civil Law and Motion

Department: 6

Hearing date: 2026-09-15

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Case Number: 26PSCV02420 Hearing Date: September 15, 2026 Dept: 6

CASE

NAME: Cathay

Bank v. Ely Dromy, et al.

Plaintiff

Cathay Bank's Application for Right to Attach Order and for Writ of Attachment
as to Defendant Ely Dromy

Plaintiff

Cathay Bank's Application for Right to Attach Order and for Writ of Attachment
as to Defendants Ely Dromy and Judy Dromy, as Trustees of the Dromy 1995 Family
Trust, date December 12, 1995

TENTATIVE

RULING

The Court GRANTS both of Plaintiff's Applications for Right to
Attach Order and for Writ of Attachment, subject to Plaintiff posting the
proposed undertaking.

Plaintiff is ordered to give notice
of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a lending dispute. On July 14, 2026, plaintiff Cathay Bank
(Plaintiff) filed this action against defendants Ely Dromy (Ely),[1] individually, Ely Dromy and Judy Dromy as Trustees of the
Dromy 1995 Family

Trust dated December 12, 1995 (the Trust) (collectively, Defendants), and Does 1-100, alleging causes of action for breach of guaranty (Ely Dromy) and breach of guaranty (Dromy Trust).

On August 13, 2026, Plaintiff applied for two (2) right to attach orders and a writs of attachment. Defendants did not oppose the applications.

LEGAL STANDARD

“Except as otherwise provided by statute, an attachment may be issued only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars (\$500) exclusive of costs, interest, and attorney's fees.” (Code Civ. Proc., § 483.010, subd. (a).) “The order will be issued if the court finds that the plaintiff's claim is probably valid and the other requirements for issuing the order are established.” (Id., § 484.050, subd. (b).)

DISCUSSION

Plaintiff argues it is entitled to right to attach orders against Defendants because its claims rest on the written continuing guaranties, i.e., express contracts, for a readily ascertainable sum of \$2,632,063.77 that far exceeds the \$500.00 statutory minimum. Plaintiff contends the guaranties are unsecured and that although the obligation of the borrower, i.e., E.D. Flores, LLC (Borrower) is secured by a deed of trust, attachment against Defendants is proper because they waived the benefit of that security under Civil Code sections 2845, 2849, and 2856. Plaintiff asserts the claim against Ely arises from his conduct of a trade, business, or profession, while the trade/business requirement does not apply to the Trust because a trust is not a natural person. Plaintiff maintains the probable validity of the claims is clear given Borrower's uncured defaults and Defendants' failure to pay after the June 2, 2026 demand deadline. Plaintiff requests attachment of Defendants' property, including the 508 North Canon Drive property held by the Trust, subject to the standard \$10,000.00 undertaking.

The Court finds Plaintiff's

applications persuasive. First, Plaintiff's claims are based on the written continuing guaranties dated May 23, 2022, under which Defendants unconditionally guaranteed Borrower's obligations. (Scheiber Decl., Exs. 1-2, 5-6, 9.) Guaranties are contracts and therefore satisfy the "based upon a contract" requirement under Code of Civil Procedure section 483.010, subdivision (a). (Code Civ. Proc., § 483.010, subd. (a).)

Second, the amount at issue is fixed or readily ascertainable and easily exceeds the \$500.00 threshold required under Code of Civil Procedure section 483.010, subdivision (a). (Code Civ. Proc., § 483.010, subd. (a).) Plaintiff seeks \$2,632,063.77 based on a \$2,457,341.23 principal balance, \$55,430.12 in accrued unpaid contract rate interest, \$63,875.60 in accrued unpaid default rate interest from January 16, 2026, to July 22, 2026, \$52,416.82 in estimated attorney fees based on Local Rule 3.214, and \$3,000.00 in estimated costs. (Scheiber Decl., ¶¶ 20-21, Ex. 9.) The guaranties also provide for recovery of attorney fees. (Scheiber Decl., Ex. 5, ¶ 21, Ex. 6, ¶ 21.)

Third, the guaranties are unsecured and Defendants waived the benefit of or any right to require Plaintiff to proceed first against Borrower's Santa Monica property. (Scheiber Decl., Ex. 5, ¶¶ 6, 40, Ex. 6, ¶¶ 6, 40; Civ. Code, §§ 2787-2855; see also Bank of Am., N.A. v. Stonehaven Manor, LLC (2010) 186 Cal.App.4th 719, 723 [guarantor's property subject to attachment even when principal debt is secured by real property and the guarantor has contractually waived the benefit of that security under Civil Code section 2849].) Code of Civil Procedure section 483.010, subdivision (b), therefore appears to be satisfied. (Code Civ. Proc., § 483.010, subd. (b).)

Fourth, the trade/business requirement of Code of Civil Procedure section 483.010, subdivision (c), applies only to Ely and not to Trust since the latter is not a natural person. (Code Civ. Proc., § 483.010, subd. (c); Kadison, Pfaelzer, Woodard, Quinn & Rossi v. Wilson (1987) 197 Cal.App.3d 1, 4 (Kadison).) Ely signed the underlying loan documents as Borrower's manager and otherwise appears to be authorized to act on Borrower's behalf. (Scheiber Decl., ¶¶ 22-27, Exs. 10-12; see Advance Transformer Co. v. Superior Ct. (1974) 44 Cal.App.3d 127, 144 ["In cases involving guarantees by principal shareholders of closely held corporations, consideration will necessarily be given to the degree and continuity of the guarantor's involvement in the affairs of the primary obligor

out of which the indebtedness has arisen"].) Section 483.010, subdivision (c), therefore appears to be satisfied. (Code Civ. Proc., § 483.010, subd. (c).)

Fifth, Plaintiff has demonstrated a probable validity of its claims by providing evidence of the guaranties, Borrower's default, and Defendants' failure to perform. (Code Civ. Proc., §§ 484.050, subd. (b), 481.190; Scheiber Decl., ¶¶ 4-14, Exs. 1-2, 5-9.)

Sixth, Plaintiff's evidence shows that attachment is sought only to recover on the guaranty claims, and that the amount to be secured clearly exceeds zero. (Code Civ. Proc., § 484.090, subds. (a)(3)-(a)(4); Scheiber Decl., ¶ 28.)

Seventh, because Trust is not a natural person, all of its property for which a method of levy exists is attachable, which includes the 508 North Canon Drive real property. (See Kadison, supra, 197 Cal.App.3d at pp. 4-5.) Ely's attachable interests are limited to those set forth under Code of Civil Procedure section 487.010, subdivision (c). (Code Civ. Proc., § 487.010, subd. (c).)

Eighth, Plaintiff's proposed undertaking of \$10,000.00 is the amount specified under Code of Civil Procedure section 489.220, subdivision (a), and Defendants have not objected to this amount per subdivision (b) of the same code section. (Code Civ. Proc., § 489.220.)

Ninth, no exemption claim has been filed. (See Code Civ. Proc., § 484.090, subd. (b).)

Based on the foregoing, the Court GRANTS both of Plaintiff's Application for Right to Attach Order and for Writ of Attachment, subject to Plaintiff posting the proposed undertaking for each order.

CONCLUSION

The Court GRANTS Plaintiff's Application for Right to Attach Order and for Writ of Attachment, subject to Plaintiff posting the proposed undertaking for each order.

Plaintiff is ordered to give notice

of the Court's ruling within five calendar days of this order.

[1] The Court refers to Defendant Ely by first name only to avoid confusion. No disrespect is intended.